



Interpret financial statements and reports

D2.TFA.CL7.02

Assessor Manual



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Project Base

William Angliss Institute of TAFE

555 La Trobe Street

Melbourne 3000 Victoria

Telephone: (03) 9606 2111

Facsimile: (03) 9670 1330

Acknowledgements

Project Director: Wayne Crosbie

Project Manager: Jim Irwin

Chief Writer: Alan Hickman

Subject Writer: Nick Hyland

Editor: Jim Irwin

DTP/Production: Daniel Chee, Mai Vu, Cindy Curran

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Competency Based Assessment (CBA) – An Introduction for Assessors

Assessment is the process of identifying a participant's current knowledge, skills and attitudes sets against all elements of competency within a unit of competency.

Suggested Assessment Methods

For each unit of competency a number of assessment tools have been identified including:

- Work Projects
- Oral Questions
- Written Questions
- Third Party Statements
- Observation Checklists.

Instructions and Evidence Recording Sheets have been identified in this Assessment Manual for use by Assessors.

Alternative Assessment Methods

Whilst the above mentioned assessment methods are suggested assessment methods, the assessor may use an alternate method of assessment taking into account:

- a) The nature of the unit
- b) The strengths of participants
- c) The number of participants in the class
- d) Time required to complete assessments
- e) Time dedicated to assessment
- f) Equipment and resources required.

Alternate assessment methods include:

- Practical demonstrations
- Practical demonstrations in simulated work conditions
- Problem solving
- Portfolios of evidence
- Critical incident reports
- Journals
- Oral presentations
- Interviews
- Videos
- Visuals/slides/audiotapes

- Case studies
- Log books
- Projects and Role plays
- Group projects
- Recognition of Prior Learning.

Whilst there is no specific instruction or evidence collection documents for all the alternative assessment methods, assessors can record competency in the 'Other' section within the 'Competency Recording Sheet'.

Selection of Assessment Methods

Each assessor will determine the combination of Assessment Methods to be used to determine Competency for each Competency Unit on a student by student basis.

'Sufficient' evidence to support the 'Pass Competent'/'Not Yet Competent' decision must be captured.

In practice this means a minimum of 2 – 3 Assessment Methods for each candidate for each Competency Element is suggested.

At least one method should provide evidence of practical demonstration of competence.

The following assessment methods deemed to provide evidence of practical demonstration of competence include:

- Practical Work Projects
- Third Party Statement
- Observation Checklist.

Assessing Competency

Competency based assessment does not award grades, but simply identifies if the participant has the knowledge, skills and attitudes to undertake the required task to the specified standard.

Therefore, when assessing competency, an assessor has two possible results that can be awarded:

- 'Pass Competent' (PC)
- 'Not Yet Competent' (NYC).

Pass Competent (PC)

If the participant is able to successfully answer or demonstrate what is required, to the expected standards of the performance criteria, they will be deemed as 'Pass Competent' (PC).

The assessor will award a 'Pass Competent' (PC) if they feel the participant has the necessary knowledge, skills and attitudes in all assessment tasks for a unit.

Not Yet Competent' (NYC)

If the participant is unable to answer or demonstrate competency to the desired standard, they will be deemed to be 'Not Yet Competent' (NYC).

This does not mean the participant will need to complete all the assessment tasks again. The focus will be on the specific assessment tasks that were not performed to the expected standards.

The participant may be required to:

- a) Undertake further training or instruction
- b) Undertake the assessment task again until they are deemed to be 'Pass Competent'.

Regional Qualifications Framework and Skills Recognition System

The 'Regional Qualifications Framework and Skills Recognition System', also known as the 'RQFSRS' is the overriding educational framework for the ASEAN region.

The purpose of this framework is to provide:

- A standardised teaching and assessment framework
- Mutual recognition of participant achievement across the ASEAN region. This includes achievement in individual Units of Competency or qualifications as a whole.

The role of the 'RQFSRS' is to provide, ensure and maintain 'quality assurance' across all countries and educational providers across the ASEAN region

Recognition of Prior Learning (RPL)

Recognition of Prior Learning is the process that gives current industry professionals who do not have a formal qualification, the opportunity to benchmark their extensive skills and experience against the standards set out in each unit of competency/subject.

This process is a learning and assessment pathway which encompasses:

- Recognition of Current Competencies (RCC)
- Skills auditing
- Gap analysis and training
- Credit transfer.

Code of Practice for Assessors

This Code of Practice provides:

- Assessors with direction on the standard of practice expected of them
- Candidates with assurance of the standards of practice expected of assessors
- Employers with assurance of the standards maintained in the conduct of assessment.

The Code detailed below is based on the International Code of Ethics and Practice (The National Council for Measurement in Education [NCME]):

- The differing needs and requirements of the person being assessed, the local enterprise and/or industry are identified and handled with sensitivity
- Potential forms of conflict of interest in the assessment process and/or outcomes are identified and appropriate referrals are made, if necessary
- All forms of harassment are avoided throughout the planning, conducting, reviewing and reporting of the assessment outcomes

- The rights of the candidate are protected during and after the assessment
- Personal and interpersonal factors that are not relevant to the assessment of competency must not influence the assessment outcomes
- The candidate is made aware of rights and process of appeal
- Evidence that is gathered during the assessment is verified for validity, reliability, authenticity, sufficiency and currency
- Assessment decisions are based on available evidence that can be produced and verified by another assessor
- Assessments are conducted within the boundaries of the assessment system policies and procedures
- Formal agreement is obtained from both the candidate and the assessor that the assessment was carried out in accordance with agreed procedures
- The candidate is informed of all assessment reporting processes prior to the assessment
- The candidate is informed of all known potential consequences of decisions arising from an assessment, prior to the assessment
- Confidentiality is maintained regarding assessment results
- The assessment results are used consistently with the purposes explained to the candidate
- Opportunities are created for technical assistance in planning, conducting and reviewing assessment procedures and outcomes.

Instructions and Checklist for Assessors

Instructions

General instructions for the assessment:

- Assessment should be conducted at a scheduled time that has been notified to the candidate
- Facilitators must ensure participants are made aware of the need to complete assessments and attend assessment sessions
- If a participant is unable to attend a scheduled session, they must make arrangements with the Assessor to undertake the assessment at an alternative time
- At the end of the assessment the Assessor must give feedback and advise the participant on their PC/NYC status
- Complete the relevant documentation and submit to the appropriate department.

Preparation

- Gain familiarity with the Unit of Competency, Elements of Competency and the Performance Criteria expected
- Study details assessment documentation and requirements
- Brief candidate regarding all assessment criteria and requirements.

Briefing Checklist

- Begin the assessment by implementing the following checklist and then invite the candidate to proceed with assessment.

Checklist for Assessors

Prior to the assessment I have:	Tick (✓)	Remarks
Ensured the candidate is informed about the venue and schedule of assessment.		
Received current copies of the performance criteria to be assessed, assessment plan, evidence gathering plan, assessment checklist, appeal form and the company's standard operating procedures (SOP).		
Reviewed the performance criteria and evidence plan to ensure I clearly understood the instructions and the requirements of the assessment process.		
Identified and accommodated any special needs of the candidate.		
Checked the set-up and resources for the assessment.		
During the assessment I have:		
Introduced myself and confirmed identities of candidates.		
Put candidates at ease by being friendly and helpful.		
Explained to candidates the purpose, context and benefits of the assessment.		
Ensured candidates understood the assessment process and all attendant procedures.		
Provided candidates with an overview of performance criteria to be assessed.		
Explained the results reporting procedure.		
Encouraged candidates to seek clarifications if in doubt.		
Asked candidates for feedback on the assessment.		
Explained legal, safety and ethical issues, if applicable.		
After the assessment I have:		
Ensured candidate is given constructive feedback.		
Completed and signed the assessment record.		
Thanked candidate for participating in the assessment.		

Instructions for Recording Competency

Specifications for Recording Competency

The following specifications apply to the preparation of Evidence Gathering Plans:

- A Competency Recording Sheet must be prepared for each candidate to ensure and demonstrate all Performance Criteria and Competency Elements are appropriately assessed. This Sheet indicates how the Assessor will gather evidence during their assessment of each candidate
- This Competency Recording Sheet is located at the end of the Assessment Plan
- It is the overriding document to record competency
- The Assessor may vary the Competency Recording Sheet to accommodate practical and individual candidate and/or workplace needs
- Assessor must place a tick (✓) in the 'Assessment Method' columns to identify the methods of assessment to be used for each candidate
- Multiple Competency Elements/Performance Criteria may be assessed at the one time, where appropriate
- The assessor and participant should sign and date the Competency Recording Sheet, when all forms of evidence and assessment have been completed
- The assessor may provide and feedback or clarify questions which the participant may have in regards to the assessment grade or findings
- All documents used to capture evidence must be retained, and attached to the Competency Recording Sheet for each candidate for each Competency Unit.

Instructions for Different Assessment Methods

Specifications for Work Project Assessment

These guidelines concern the use of work projects.

The work projects identified in the Training Manuals involve a range of tasks, to be performed at the discretion of the Assessor.

Work project tasks can be completed through any form of assessment as identified in the Trainer and Trainee Manuals and stated at the start of this section.

Assessors should follow these guidelines:

- Review the Work Projects at the end of each 'Element of Competency' in the Trainee Manual to ensure you understand the content and what is expected
- Prepare sufficient resources for the completion of work activities including:
 - Time – whether in scheduled delivery hours or suggested time participants to spend outside of class hours
 - Resources – this may involve technical equipment, computer, internet access, stationery and other supplementary materials and documents
- Prepare assessment location (if done in class) making it conducive to assessment
- Explain Work Projects assessment to candidate, at the start of each Element of Competency. This ensures that participants are aware of what is expected and can collate information as delivery takes place

- Assessors can use the following phrase as a guide (where an 'X' is identified, please input appropriate information):
 "At the end of each Element of Competency there are Work Projects which must be completed. These projects require different tasks that must be completed.
 These work projects are part of the formal assessment for the unit of competency titled X:
- You are required to complete these activities:
 - Using the 'X' method of assessment*
 - At 'X' location*
 - You will have 'X time period' for this assessment*
 - You are required to compile information in a format that you feel is appropriate to the assessment
 - Do you have any questions about this assessment?"
- Commence Work Project assessment:
 - The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
 - Participants complete work projects in the most appropriate format
 - Participants must submit Work Project evidence to the assessor before the scheduled due date
- Assessor must assess the participant's evidence against the competency standards specified in each Element of Competency and their own understanding. The assessor can determine if the participant has provided evidence to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Oral Question Assessment

These guidelines concern the use of oral questioning.

Assessors should follow these guidelines.

- Prepare Assessment Record for Oral Questioning. One record for each candidate:
 - Enter Student name
 - Enter Assessor name
 - Enter Location
- Familiarise self with Questions to be asked
- Prepare assessment location (table and chairs) making it conducive to assessment
- Explain Oral Questioning assessment to candidate, using the following phrase as a guide (where a 'X' is identified, please input appropriate information):
"These oral questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability and I will record whether or not you have answered correctly.

We have 60 minutes for this assessment.

- I will give you feedback at the end of the assessment
- Do you have any questions about this assessment?”
- Commence Oral Questioning assessment:
 - Complete Assessment Record for the Oral Questioning by:
 - a) Ticking PC or NYC, as appropriate
 - b) Entering ‘Remarks’ as required
 - c) Completing Oral Questioning within 60 minutes
- Complete Oral Questioning and provide feedback to candidate
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Written Question Assessment

These guidelines concern the use of written questioning.

Assessors should follow these guidelines:

- Familiarise self with Questions and Answers provided
- Print and distribute copies of ‘Written Questions’ for participants. Ideally this should take place with adequate time for participants to answer all questions before the expected due date
- Explain Written Questioning assessment to candidate, using the following phrase as a guide (where a ‘X’ is identified, please input appropriate information):

“These written questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability.

You may refer to your subject materials, however where possible try to utilise your existing knowledge when answering questions.

Where you are unsure of questions, please ask the Assessor for further instruction. This may be answering the question orally or asking the assessor to redefine the question.

We have X time for this assessment:

- The due date for completion of this assessment is X
- On this date you must forward the completed questions to the assessor by X time on the date of X
- Do you have any questions about this assessment?”
- The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
- Participants may record written answers (where possible)
- Participants must submit the written answers to the assessor before the scheduled due date

- Assessor must assess the participant's written answers against the model answers provided as a guide, or their own understanding. The assessor can determine if the participant has answered the questions to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Observation Checklist

These specifications apply to the use of the Observation Checklist in determining competency for candidates.

Only an approved assessor is authorised to complete the Observation Checklist.

The assessor is required to observe the participant, ideally in a simulated environment or their practical workplace setting and record their performance (or otherwise) of the competencies listed on the Observation Checklist for the Competency Unit.

To complete the Observation Checklist the Assessor must:

- Insert name of candidate
- Insert assessor name
- Insert identify of location where observations are being undertaken
- Insert date/s of observations – may be single date or multiple dates
- Place a tick in either the 'Yes' or 'No' box for each listed Performance Criteria to indicate the candidate has demonstrated/not demonstrated that skill
- Provide written (and verbal) feedback to candidate – as/if appropriate
- Sign and date the form
- Present form to candidate for them to sign and date
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Observation Checklist.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the participant.

Specifications for Third Party Statement

These specifications relate to the use of a relevant workplace person to assist in determining competency for candidates.

The Third Party Statement is to be supplied by the assessor to a person in the workplace who supervises and/or works closely with the participant.

This may be their Supervisor, the venue manager, the Department Manager or similar.

The Third Party Statement asks the Supervisor to record what they believe to be the competencies of the participant based on their workplace experience of the participant. This experience may be gained through observation of their workplace performance, feedback from others, inspection of candidate's work etc.

A meeting must take place between the Assessor and the Third Party to explain and demonstrate the use of the Third Party Statement.

To complete the Third Party Verification Statement the Assessor must:

- Insert candidate name
- Insert name and contact details of the Third Party
- Tick the box to indicate the relationship of the Third Party to the candidate
- Present the partially completed form to the Third Party for them to finalise
- Collect the completed form from the Third Party
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Third Party Statement.

The Third Party must:

- Record their belief regarding candidate ability/competency as either:
 - Pass Competent = Yes
 - Not Yet Competent = No
 - Unsure about whether candidate is competent or not = Not Sure
- Meet briefly with the assessor to discuss and/or clarify the form.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the candidate.

A separate Third Party Statement is required for each Competency Unit undertaken by the candidate.

Competency standard

UNIT TITLE: INTERPRET FINANCIAL STATEMENTS AND REPORTS		NOMINAL HOURS: 80
UNIT NUMBER: D2.TFA.CL7.02		
UNIT DESCRIPTOR: This unit deals with skills and knowledge required to read, analyse and interpret financial information presented to operational managers		
ELEMENTS AND PERFORMANCE CRITERIA		UNIT VARIABLE AND ASSESSMENT GUIDE
Element 1: Determine the context for financial information 1.1 Identify the <i>financial statements and reports</i> used by the organisation 1.2 Define <i>financial terminology</i> commonly used by the organisation 1.3 Identify <i>financial indicators</i> commonly used by the organisation 1.4 Identify the <i>frequencies with which financial information is required to be interpreted</i> 1.5 Identify the <i>personnel responsible for providing financial information</i> , reports and statements 1.6 Describe the <i>non-financial indicators</i> to be considered when interpreting financial information		Unit Variables The Unit Variables provide advice to interpret the scope and context of this unit of competence, allowing for differences between enterprises and workplaces. It relates to the unit as a whole and facilitates holistic assessment This unit applies to all industry sectors that generate internal financial information within the labour divisions of the hotel and travel industries and may include: 1. Travel Agencies 2. Tour Operation <i>Financial statements and reports</i> may include: • Source documents • Journals, including Cash Receipts Journal, Cash Payments Journal, and Sales Journal • Transaction reports • Account summaries/balances • Profit and loss statements • Invoices

1.7 Describe the <i>operational areas to which the interpretation of financial information applies</i>	• Budget reports • Expenditure reports, including labour and non-labour • Balance sheets • Trial balances • Receivable reports • Stocktaking sheets • Purchase summary reports • Stock reports • Variance reports • Wastage reports • Sales reports • Supporting reports, including staff costs, units sold • Business activity statements • Labour/wages reports • Cash flow reports • Bank statements • Bank deposit documentation • Merchant statements and summaries • Transaction exemption reports • Cheque books • Credit card transaction statements • Banking summaries
Element 2: Interpret financial information	
2.1 <i>Review the financial information provided</i>	
2.2 <i>Verify information contained within the material provided</i>	
2.3 <i>Undertake statistical analysis of the financial information provided</i>	
2.4 <i>Draw conclusions from the financial information provided</i>	
Element 3: Determine action to be taken on the basis of interpretation of financial information	
3.1 <i>Identify whether or not action needs to be taken</i>	
3.2 <i>Consider options available to address identified need</i>	
3.3 <i>Select the most appropriate option(s) for action</i>	
3.4 <i>Share information and proposed action with relevant personnel</i>	
3.5 <i>Apply the proposed course(s) of action</i>	
3.6 <i>Monitor the results of the changes</i>	
3.7 <i>Review remedial action and revise as required</i>	

	• International Air Transport Association (IATA) reports • Billing and Settlement Plan (BSP) documentation. <i>Financial terminology</i> may include: • Assets, including current, fixed, non-current • Liabilities, including current, non-current • Proprietorship • Debtors • Creditors • The accounting equation • Operating cycle • Enterprise-specific terms. <i>Financial indicators</i> may include: • Costs • Sales • Profit • Operating performance calculated from manipulating financial data. <i>Frequencies with which financial information is required to be interpreted</i> should relate to: • Enterprise requirements • Operational requirements • Legislated requirements • The need caused by specific occasions, emergencies and/or trading conditions and may include: ▪ Daily
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	▪ Weekly ▪ Monthly ▪ Quarterly ▪ Half-yearly ▪ Annually. <i>Personnel responsible for providing financial information should relate to:</i> • Accounting staff • Departmental heads • Managers • Supervisors • Head office • Providers, suppliers and carriers. <i>Non-financial indicators may include:</i> • Levels of comfort and safety • Customer satisfaction levels with services provided • Cleanliness and ambience of the premises • Condition of property, systems, equipment and facilities. <i>Review the financial information provided may include:</i> • Reading the material • Gaining a general appreciation of what the information contains • Comparing statistics to previous periods • Identifying trends
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	• Determining if any trigger points/red flag situations have arisen • Clarifying queries. <i>Verify information contained</i> may include: • Ensuring only charges relevant to the business/unit have been posted • Ensuring all revenue for the business/unit have been posted • Checking extensions and calculations within the documentation • Ensuring all relevant documentation, including source documentation has been provided • Verifying 'brought forward' figures from previous documentation. <i>Undertake statistical analysis</i> may include, where the system does not automatically produce these figures, calculating: • Operating performance/profitability, including ratios used to measure how efficiently a business is using owner funds and total assets, and ratios used to measure the efficiency with which sales and profit figures are achieved • Financial stability/liquidity, including ratios used to assess whether a business is stable in the short term by being able to meet its debts as they become due, and ratios used to measure the long term viability of a firm by assessing the operation's ability to service unknown liabilities • Investment potential. <i>Draw conclusions</i> may include: • Determining if current position is within acceptable parameters or not, including positive and negative results • Noting aspects of the information for investigation and/or attention • Identifying operational aspects of the business for investigation and/or attention
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	• Determining if one-off special events/circumstances gave rise to exceptional positive or negative results • Seeking input from relevant others • Checking and confirming statistics and calculations, including verifying source documents and accurate entry of data. <i>Identify whether or not action needs to be taken may include:</i> • Determining whether or not to allow the situation to continue unchanged or whether to take remedial action • Determining if action needs to be taken on revenue, costs or both • Confirming the need for action with relevant others. <i>Consider options available may include:</i> • Considering the impact on service levels, image and reputation of the business • Considering selling price increases and/or decreases • Considering changing trading times and/or locations from which the business operates, including considering sub-agency and franchise options • Considering additional and/or revised promotion activities to increase sales • Considering re-packaging existing products and services available • Considering developing and/or introducing new products and services • Considering re-sourcing suppliers, providers and carriers at lower cost • Considering encouraging staff to make extra effort to optimise every sales opportunity • Considering a change in business direction, including revisions to business and strategic plans, and establishing a new target market • Considering revisions to staff rosters to limit labour costs • Ensuring all legitimate costs that can be charged for are being passed on the customers
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	• Ensuring all commissions being earned are being received • Considering revisions to targets and allocations of resources, including re-framing of revenue and expenditure budgets. <i>Select the most appropriate option(s) for action may include:</i> • Ensuring the options selected align with business objectives • Ensuring compliance with legislated requirements • Ensuring a cost-benefit analysis has been undertaken to support the decision(s) taken • Ensuring the decisions taken can be supported by the resources available • Making relative comparisons with alternatives available. <i>Share information and proposed action may include:</i> • Explaining rationale for proposed action • Describing potential alternatives available • Explaining rationale for selection of chosen course of action • Describing costs and benefits of implementing proposed course of action • Describing implementation details relating to the proposed course of action • Setting trigger points and key performance criteria in relation to the revised course of action • Developing implementation plans for the proposals • Obtaining approval/authorisation to implement the proposed course of action – including revisions to the proposal.
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	<i>Apply the proposed course(s) of action</i> may include: • Implementing the initiative(s) in accordance with approved plans • Training and/or re-training staff, as required Acquiring required resources. <i>Monitor the results</i> may include: • Tracking changes to sales and costs • Tracking attainment of projected figures against actual results • Monitoring reactions to changes – including reactions from customers, staff, suppliers and other stakeholders. Assessment Guide The following skills and knowledge must be assessed as part of this unit: • Knowledge of the enterprise's policies and procedures in regard to internal accounting practices, charts of accounts and the processes involved in the provision and analysis of financial information • Ability to apply principles of accounting and double-entry record keeping • Ability to apply principles of commercial-in-confidence to specified material • Knowledge of the record keeping process for accounting-based information • Ability to use statistical manipulation techniques for accounting-based information • Knowledge of the roles of financial information documentation used by the industry • Knowledge of how financial reports are generated in the first instance and the source documents used to create them • Knowledge of reconciling financial statements and reports • Knowledge of the reporting periods for the industry and the host enterprise • Knowledge of the computerised accounting system used by the host enterprise, where applicable.
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	Linkages To Other Units • Access and retrieve computer-based data • Perform clerical procedures • Use common business tools and technology • Audit financial procedures • Maintain financial standards and records • Manage financial performance within a budget • Manage payroll records • Monitor catering revenue and costs • Manage legal requirements for business compliance • Monitor staff performance • Maintain guests' financial records • Process a financial sale transaction • Manage and control operational costs • Maintain a secure financial accounting system • Prepare financial statements. Critical Aspects of Assessment Evidence of the following is essential: • Understanding of host enterprise policies and procedures in regard to internal accounting practices, charts of accounts and the processes involved in the provision and analysis of financial information
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	• Demonstrated ability to analyse and interpret a nominated set of financial statements and reports and provide written effective and viable suggestions for action to address situations failing to meet projected results. Context of Assessment This unit may be assessed on or off the job: • Assessment should include practical demonstration either in the workplace or through a simulation activity, supported by a range of methods to assess underpinning knowledge • Assessment must relate to the individual's work area or area of responsibility. Resource Implications Training and assessment to include access to a real or simulated workplace; and access to workplace standards, procedures, policies, guidelines, tools and equipment. Assessment Methods The following methods may be used to assess competency for this unit: • Observation of practical candidate performance • Portfolio of analysis of financial statements and reports undertaken by the candidate • Analysis of proposed courses of action to address identified need • Case studies • Project work • Oral and written questions • Third party reports completed by a supervisor • Project and assignment work.
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	Key Competencies in this Unit <i>Level 1 = competence to undertake tasks effectively</i> <i>Level 2 = competence to manage tasks</i> <i>Level 3 = competence to use concepts for evaluating</i>		
	Key Competencies	Level	Examples
	Collecting, organising and analysing information	2	Manipulate provided information to generate relevant financial indicators
	Communicating ideas and information	2	Share financial information with others
	Planning and organising activities	1	Schedule monitoring activities for financial information
	Working with others and in teams	2	Cooperate with relevant others to determine acceptability, or otherwise, of results; liaise with others to determine responses to unacceptable financial situations
	Using mathematical ideas and techniques	3	Evaluate the content of financial information
	Solving problems	3	Devise responses to instances where actual results have failed to meet projected results
	Using technology	1	Use accounting software

Oral questions

Student name	
Assessor name	
Location/venue	
Unit of competency	Interpret financial statements and reports D2.TFA.CL7.02
Instructions	1. Ask student questions from the attached list to confirm knowledge, as necessary 2. Place tick in boxes to reflect student achievement (Pass Competent 'PC' or Not Yet Competent 'NYC') 3. Write short-form student answer in the space provided for each question.

Questions	Response	
	PC	NYC
1. What is the purpose of financial documents, statements and reports?	☐	☐
2. Why is it important that managers have a sound understanding of financial accounting and accounting terminology?	☐	☐

Questions	Response	
	PC	NYC
3. What is the difference between a financial benchmark and an indicator? Why are they important?	☐	☐
4. What are two examples of frequencies of when financial reports or statements are to be prepared?	☐	☐
5. What are examples of reports prepared by the accounting department of a travel and tourism business?	☐	☐

Questions	Response	
	PC	NYC
6. Why are non-financial indicators just as valuable as financial indicators? How do they differ?	☐	☐
7. Why is it essential to have clearly defined business units for the purpose of accounting responsibility?	☐	☐
8. Why is it essential to review financial information?	☐	☐

Questions	Response	
	PC	NYC
9. What is the difference between 'reviewing' and 'verifying' financial information?	☐	☐
10. Why is it important to analyse financial information?	☐	☐
11. Why is it important to draw conclusions after you have undertaken a financial analysis?	☐	☐

Questions	Response	
	PC	NYC
12. Most establishments establish 'tolerance limits' to help guide whether action needs to take place in regards to a financial issue. What tolerance limits would you implement?	☐	☐
13. What are examples of <u>expense related</u> options that may be considered to address financial issues requiring action?	☐	☐
14. Who should be involved in the process of selecting the best solution to address a financial issue?	☐	☐

Questions	Response	
	PC	NYC
15. Identify 2 ways of communicating financial information and discuss the advantages and disadvantages of each.	☐	☐
16. What information needs to be communicated to staff when implementing a course of action to address a financial issue?	☐	☐
17. Why is it important to monitor the progress of courses of action implemented to address a financial issue?	☐	☐
18. How often should remedial actions be reviewed? Provide an example?	☐	☐

Written questions

Interpret financial statements and reports – D2.TFA.CL7.02

Student Name: _____

Answer all the following questions and submit to your Trainer.

1. What are examples of source financial documents used in the workplace?

2. Describe the purpose and contents of a 'Statement of Financial Position / Balance Sheet'.

3. Describe the purpose and contents of a 'Statement of Financial Performance / Profit and Loss Statement'.

4. Identify and explain two types of accounts that are found in financial accounting.

5. What is a budget? What types of budgets are there?

6. What areas of business are financial indicators and benchmarks designed to measure and compare?

7. What does the term 'accounting period' mean? Why is it important to have accounting periods?

8. Who are the personnel responsible for providing financial information?

9. What are types of non-financial indicators?

10. What are different types of business units commonly used for accounting purposes?

11. How can you review financial information?

12. What are examples of financial maintenance policies and procedures used to ensure accuracy of accounting information?

13. How can you verify financial information?

14. What are examples of 'discrepancies' that may be found and what causes them?

15. When undertaking financial analysis, what are actual figures commonly compared against?

16. Explain the term 'horizontal analysis'.

17. Explain the term 'vertical analysis'.

18. What is 'ratio analysis'? Provide an example of a ratio used in the travel and tourism industry?

19. Use the following data to calculate the following ratios and percentages rounded to one decimal place (please show formulas used and your calculations).

1. Gross Profit percentage

2. Net Profit percentage

3. Current ratio

4. Working capital (in \$'s)

5. Quick asset ratio

6. Debtors turnover ratio

7. Proprietorship ratio

8. Debt to equity ratio

Statement of Financial Performance

Sales:	
Cash	70,000
Credit	96,000
	166,000
- Cost of goods sales	71,000
= Gross profit	95,000
- Selling and Marketing expenses	22,000
- Administration expenses	13,000
- Financial expenses (all Interest)	15,000
- Occupancy expense	34,000
Total expenses	84,000
= Net Profit	11,000

Statement of Financial Position

Current Assets	
Debtors	18,000
Inventory*	45,000
	63,000
Non-Current Assets	
Equipment	107,000
Total Assets	\$170,000
Current Liabilities	
Creditors	22,000
Bank Overdraft	20,000
	42,000
Long term loan	15,000
Total Liabilities	57,000
Owners Equity	
Capital	138,000
Add Net Profit	11,000
	149,000
Less Drawings	36,000
	113,000
Total Liabilities and Equity	\$170,000

*Notes:

- Opening Inventory \$32,000
- Debtors balance at end of previous year \$16,000
- Total assets at end of previous year \$130,000

20. What steps are involved when 'drawing conclusions' after undertaking a financial analysis?

21. What are considerations when determining whether or not action needs to be taken regarding an identified 'financial issue'?

22. What is a 'business trigger point'? What types of trigger points would require investigation and action?

23. Even though a 'financial issue' may be identified, why may further action NOT be taken?

24. What are examples of operational, accounting or system related options that may be considered to address financial issues requiring action?

25. What are examples of revenue related options that may be considered to address financial issues requiring action?

26. What considerations would you identify when selecting the best option to address a financial issue?

27. From the following ratios and percentages, write a brief summary outlining the company's position.

	YEAR 1	YEAR 2	YEAR 3	2 YEAR 4	nd Avg
Liquidity					
Current ratio	1.80	1.82	1.70	1.50	1.5
Quick ratio	1.04	1.11	1.25	1.30	1.2
Activity					
Stock turnover (times p.a)	3.1	3.8	3.4	3.0	3.4
Debtors Turnover (days)	50	55	45	67	45

Profitability	%	%	%	%	%
Gross profit margin	85.0	79.0	81.0	79.5	82.0
Net profit margin	16.0	12.0	14.5	13.5	15.0
Return on Investments	11.0	10.5	8.7	11.0	12.0
Leverage	%	%	%	%	%
Debt to equity	28.0	60.0	57.0	49.0	48.0
Total debt to total asset	30.6	65.2	62.8	61.3	60.0

[illegible]

28. What are considerations when implementing a course of action to address a financial issue?

29. What are the objectives of monitoring remedial action taken to address a financial issue?

30. What actions are taken when undertaking reviews of remedial action taken?

Answers to written questions

Interpret financial statements and reports – D2.TFA.CL7.02

The following are model answers only – Trainers/Assessors must use discretion when determining whether or not an answer provided by a Student is acceptable or not.

1. What are examples of source financial documents used in the workplace?

- Invoices
- Receipt books
- Cash register audit tapes
- Internal vouchers and promotional vouchers
- Daily takings sheets
- Credit card imprints and vouchers
- Time / wages sheets
- Purchase orders
- Receipts.

2. Describe the purpose and contents of a 'Statement of Financial Position / Balance Sheet'

A balance sheet is a financial statement that summarises at a specific point of time a company's:

- Assets
- Liabilities
- Equity.

3. Describe the purpose and contents of a 'Statement of Financial Performance / Profit and Loss Statement'

Statement of comprehensive income or profit & loss statement is a financial statement that measures a company's financial performance over an accounting period

Revenue

Less Cost of Goods Sold

= Gross Profit

Less Operating Expenses

= Net Profit

4. **Identify and explain two types of accounts that are found in financial accounting.**

- Current Assets
- Fixed Assets
- Current Liabilities
- Long-term Liabilities
- Operating Revenues
- Cost of Goods Sold
- Operating Expenses.

5. **What is a budget? What types of budgets are there?**

A statement of management's planned outcomes for the business, expressed in dollars or quantities to achieve its objectives for a precise period of time.

- Sales budgets
- Labour budgets
- Material budgets
- Inventory budget
- Overhead budgets
- Capital expenditure budgets
- Budgeted Financial Performance statement
- Cash budgets
- Budgeted statement of Financial Position.

6. **What areas of business are financial indicators and benchmarks designed to measure and compare?**

Financial indicators and benchmarks may be based on:

- Costs
- Sales
- Profit
- Operating performance.

7. **What does the term 'accounting period' mean? Why is it important to have accounting periods?**

The accounting period is the period with reference to which accounting books of any company are prepared.

It is the period for which accounting books are:

- Closed
- Balanced
- Financial statements are prepared.

This requires that all organisations set specific time periods of equal length for reporting and measuring financial results.

8. **Who are the personnel responsible for providing financial information?**
 - Accounting staff
 - Departmental heads
 - Managers
 - Supervisors
 - Head office
 - Providers, suppliers and carriers.
9. **What are types of non-financial indicators?**
 - Customer service levels
 - Customer satisfaction levels
 - Safety
 - Condition of property, systems, equipment and facilities
 - Ambience of the property
 - Cleanliness.
10. **What are different types of business units commonly used for accounting purposes?**
 - Outlets
 - Geographical offices
 - Specific sales related areas
 - Types of customers / market segments
 - Accounting
 - Production
 - Marketing
 - Research & development
 - Human resources
 - Sales and marketing.
11. **How can you review financial information?**
 - Reading the material
 - Gaining a general appreciation of what the information contains
 - Comparing statistics to previous periods
 - Identifying trends
 - Determining if any trigger points or red flag situations have arisen
 - Clarifying queries.

12. What are examples of financial maintenance policies and procedures used to ensure accuracy of accounting information?

- The records to be created and maintained
- Naming protocols for budgets and budget lines
- Timelines for updating records
- Frequency of report generation
- Identification of types of reports to be produced
- Type of accounting system to be used
- Qualifications of people
- Distribution list for records and reports
- Storage and security protocols for the data
- Accounting standards to be applied
- Reviews and evaluations of the policies and procedures
- Triggers (red flags) for individual statistics, KPIs or data
- Auditing requirements.

13. How can you verify financial information?

- Checking source documentation
- Ensuring all relevant documentation, including source documentation has been provided
- Verifying 'brought forward' figures from previous documentation
- Ensuring only charges relevant to the business/unit have been posted
- Ensuring all revenue for the business/unit have been posted
- Checking extensions and calculations within the documentation
- Ensure financial information has been 'balanced'.

14. What are examples of 'discrepancies' that may be found and what causes them?

- An entry error
- An arithmetical error in performing the reconciliation
- An honest mistake by staff in completing, calculating or supplying supporting documentation.
- Causes include:
 - Using incorrect source documentation
 - Using incomplete source documentation
 - Using out-of-date source documentation
 - Transcription errors
 - Putting the decimal point in the wrong place
 - Placing the right figure against the wrong description or detail
 - Missing out a figure when adding/calculating
 - Inserting the wrong date.

15. When undertaking financial analysis, what are actual figures commonly compared against?

- Revenue
- Profit
- Previous accounting periods
- Budget
- Forecast
- Industry leaders
- Industry average.

16. Explain the term 'horizontal analysis'.

Methods of financial statement analysis generally involve comparing certain information:

- Across periods
- Across companies
- Against benchmarks.

17. Explain the term 'vertical analysis'.

- Vertical analysis is most often used in tourism organisations to monitor and control expenses that appear on an income or profit and loss statement
- The amount of each expense is divided by total revenue and converted to a percentage.

18. What is 'ratio analysis'? Provide an example of a ratio used in the travel and tourism industry?

Ratio is a mathematical way of expressing one number in terms of another. A ratio is regarded as a statistical yardstick. Relationship between two or various figures can be compared or measured using ratio.

Examples of ratios will vary.

19. Use the following data to calculate the following ratios and percentages rounded to one decimal place (please show formulas used and your calculations).

1. Gross Profit percentage

$$\frac{\text{Gross Profit}}{\text{Net Sales}} \times 100 = \frac{95,000}{166,000} \times 100 = 57.2\%$$

2. Net Profit percentage

$$\frac{\text{Net profit after tax}^*}{\text{Net Sales}} \times 100 = \frac{11,000}{166,000} \times 100 = 6.6\%$$

3. Current ratio

$$\frac{\text{Current assets}}{\text{Current liabilities}} = \frac{63,000}{42,000} = 1.5$$

4. Working capital (in \$'s)

$$\text{Current Assets} - \text{Current Liabilities} = \$63,000 - \$42,000 = \$21,000$$

5. Quick asset ratio

$$\frac{\text{Current assets} - (\text{stock} + \text{prepaid expenses})}{\text{Current liabilities}} = \frac{63,000 - (45,000)}{42,000} = \frac{18,000}{42,000} = 0.42$$

6. Debtors turnover ratio

$$\frac{\text{Average Debtors}}{\text{Average daily credit sales}} = \frac{96,000}{365} = 263.01 = \frac{365}{263.01} = 1.387 = 68.4 \text{ days}$$

7. Proprietorship ratio

$$\frac{\text{Owners' Equity (Shareholders Funds)}}{\text{Total Funds or Total Assets}} \times 100 = \frac{113,000}{170,000} \times 100 = 66.4\%$$

8. Debt to equity ratio

$$\frac{\text{Total Liabilities}}{\text{Total Assets}} \times 100 = \frac{57,000}{170,000} \times 100 = 33.52\%$$

20. **What steps are involved when 'drawing conclusions' after undertaking a financial analysis?**
- Determining if current position is within acceptable parameters
 - Noting aspects of the information for investigation or attention
 - Identifying operational aspects of the business for investigation or attention
 - Determining if one-off special events gave rise to exceptional results
 - Seeking input from relevant others
 - Checking and confirming statistics.
21. **What are considerations when determining whether or not action needs to be taken regarding an identified 'financial issue'?**
- Determining whether or not to allow the situation to continue unchanged or whether to take remedial action
 - Determining if action needs to be taken on revenue, costs or both
 - Confirming the need for action with relevant others.
22. **What is a 'business trigger point'? What types of trigger points would require investigation and action?**
- A trigger can be seen as a predetermined point at which action must be taken or investigation must be undertaken to identify the reason for 'actual' performance.
- Investigation and action would be required in the event of:
- An adverse report or audit from some authority
 - A one-off critical incident that is significant in nature
 - Customer complaints that have reached a certain level - once again, the idea is that a trigger would activate only when these complaints can be seen as a trend
 - An adverse internal audit that identifies failure to comply with in-house policies and procedures.
23. **Even though a 'financial issue' may be identified, why may further action NOT be taken?**
- It is seen as a 'once' off event or something out of the control of the organisation.
24. **What are examples of operational, accounting or system related options that may be considered to address financial issues requiring action?**
- Considering the impact on service levels, image and reputation of the business
 - Considering changing trading times or locations from which the business operates, including considering sub-agency and franchise options
 - Considering additional or revised promotion activities to increase sales
 - Considering re-packaging existing products and services available
 - Considering developing or introducing new products and services
 - Considering a change in business direction, including revisions to business and strategic plans, and establishing a new target market
 - Ensuring all commissions being earned are being received
 - Considering revisions to targets and allocations of resources, including re-framing of revenue and expenditure budgets.

25. **What are examples of revenue related options that may be considered to address financial issues requiring action?**

- Extra promotion or advertising to increase interest and attract patronage
- Change of direction in terms of the target markets being sought
- Increased opening trading hours
- Changing the style of service provided
- Enhancing the service levels or product-services range provided
- Following up of overdue accounts to encourage their payment
- Imposing tighter credit limits on customers
- Training staff
- Reducing or eliminating discounts, packages or special deals being offered.
- Considering selling price increases or decreases
- Considering additional or revised promotion activities to increase sales
- Considering encouraging staff to make extra effort to optimise every sales opportunity
- Ensuring all commissions being earned are being received.

26. **What considerations would you identify when selecting the best option to address a financial issue?**

- Ensuring the options selected align with business objectives
- Ensuring compliance with legislated requirements
- Ensuring a cost-benefit analysis has been undertaken to support the decision(s) taken
- Ensuring the decisions taken can be supported by the resources available
- Making relative comparisons with alternatives available.

27. From the following ratios and percentages, write a summary report outlining the company's position.

	YEAR 1	YEAR 2	YEAR 3	YEAR 4	Ind Avg
Liquidity					
Current ratio	1.80	1.82	1.70	1.50	1.5
Quick ratio	1.04	1.11	1.25	1.30	1.2
Activity					
Stock turnover (times p.a)	3.1	3.8	3.4	3.0	3.4
Debtors Turnover (days)	50	55	45	67	45

Profitability	%	%	%	%	%
Gross profit margin	85.0	79.0	81.0	79.5	82.0
Net profit margin	16.0	12.0	14.5	13.5	15.0
Return on Investments	11.0	10.5	8.7	11.0	12.0
Leverage	%	%	%	%	%
Debt to equity	28.0	60.0	57.0	49.0	48.0
Total debt to total asset	30.6	65.2	62.8	61.3	60.0

Answers will vary.

28. What are considerations when implementing a course of action to address a financial issue?
- Legal liability exposure
 - Integration with other aspects of the business
 - Timing issues
 - Resources
 - Changes to policies and procedures
 - Documentation & record keeping
 - Service delivery.
29. What are the objectives of monitoring remedial action taken to address a financial issue?

Activities must be monitored to find out:

- What is being done correctly
- What needs improvement, by identifying causes and remedy.

30. What actions are taken when undertaking reviews of remedial action taken?

- Identify the extent to which financial issues have been addressed and overcome
 - Identify the areas in which issues may still exist
 - Identify the precise areas within areas where issues are still occurring and steps being taken to address them
 - Identify the precise nature of any outstanding problems
 - Identify the staff involved and gather first-hand information that may be helpful in understanding and overcoming financial issues
 - Discover what can be done to improve a less than optimum situation
 - Identify what needs to be done to improve remedial courses of action.
-

Observation checklist

Student name	
Assessor name	
Location/venue	
Unit of competency	Interpret financial statements and reports D2.TFA.CL7.02
Dates of observation	
Instructions	- Over a period of time observe the student completing each of the following tasks: - Determine the context for financial information - Interpret financial information - Determine action to be taken on the basis of interpretation of financial information - Enter the date on which the tasks were undertaken - Place a tick in the box to show they completed each aspect of the task to the standard expected in the enterprise - Complete the feedback sections of the form, if required.

Did the candidate	Yes	No
Element 1: Determine the context for financial information		
Identify the financial statements and reports used by the organisation	☐	☐
Define financial terminology commonly used by the organisation	☐	☐
Identify financial indicators commonly used by the organisation	☐	☐
Identify the frequencies with which financial information is required to be interpreted	☐	☐
Identify the personnel responsible for providing financial information, reports and statements	☐	☐
Describe the non-financial indicators to be considered when interpreting financial information	☐	☐
Describe the operational areas to which the interpretation of financial information applies	☐	☐

Did the candidate	Yes	No
Element 2: Interpret financial information		
Review the financial information provided	☐	☐
Verify information contained within the material provided	☐	☐
Undertake statistical analysis of the financial information provided	☐	☐
Draw conclusions from the financial information provided	☐	☐
Element 3: Determine action to be taken on the basis of interpretation of financial information		
Identify whether or not action needs to be taken	☐	☐
Consider options available to address identified need	☐	☐
Select the most appropriate option(s) for action	☐	☐
Share information and proposed action with relevant personnel	☐	☐
Apply the proposed course(s) of action	☐	☐
Monitor the results of the changes	☐	☐
Review remedial action and revise as required	☐	☐
Did the student's overall performance meet the standard?	☐	☐

Feedback to student and trainer/assessor**Strengths:****Improvements needed:****General comments:****Candidate signature****Date****Assessor signature****Date**

Third Party Statement

Student name:			
Name of third party:		Contact no:	
Relationship to student:	☐ Employer ☐ Supervisor ☐ Colleague ☐ Other <i>Please specify: _____</i> <i>Please do not complete the form if you are a relative, close friend or have a conflict of interest]</i>		
Unit of competency:	Interpret financial statements and reports D2.TFA.CL7.02		
The student is being assessed against industry competency standards and we are seeking your support in the judgement of their competence. Please answer these questions as a record of their performance while working with you. Thank you for your time.			
Do you believe the trainee has demonstrated the following skills? <i>(tick the correct response]</i>	Yes	No	Not sure
Element 1: Determine the context for financial information			
Identify the financial statements and reports used by the organisation	☐	☐	☐
Define financial terminology commonly used by the organisation	☐	☐	☐
Identify financial indicators commonly used by the organisation	☐	☐	☐
Identify the frequencies with which financial information is required to be interpreted	☐	☐	☐
Identify the personnel responsible for providing financial information, reports and statements	☐	☐	☐
Describe the non-financial indicators to be considered when interpreting financial information	☐	☐	☐
Describe the operational areas to which the interpretation of financial information applies	☐	☐	☐

Do you believe the trainee has demonstrated the following skills? <i>(tick the correct response)</i>	Yes	No	Not sure
Element 2: Interpret financial information			
Review the financial information provided	☐	☐	☐
Verify information contained within the material provided	☐	☐	☐
Undertake statistical analysis of the financial information provided	☐	☐	☐
Draw conclusions from the financial information provided	☐	☐	☐
Element 3: Determine action to be taken on the basis of interpretation of financial information			
Identify whether or not action needs to be taken	☐	☐	☐
Consider options available to address identified need	☐	☐	☐
Select the most appropriate option(s) for action	☐	☐	☐
Share information and proposed action with relevant personnel	☐	☐	☐
Apply the proposed course(s) of action	☐	☐	☐
Monitor the results of the changes	☐	☐	☐
Review remedial action and revise as required	☐	☐	☐

Comments/feedback from Third Party to Trainer/Assessor:**Third party signature:****Date:****Send to:**

Competency recording sheet

Name of Student		
Name of Assessor/s		
Unit of Competency	Interpret financial statements and reports	D2.TFA.CL7.02
Date assessment commenced		
Date assessment finalised		
Assessment decision	Pass Competent / Not Yet Competent (Circle one)	
Follow up action required (Insert additional work and assessment required to achieve competency)		
Comments/observations by assessor/s		

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 1: Determine the context for financial information						
Identify the financial statements and reports used by the organisation						
Define financial terminology commonly used by the organisation						
Identify financial indicators commonly used by the organisation						
Identify the frequencies with which financial information is required to be interpreted						
Identify the personnel responsible for providing financial information, reports and statements						
Describe the non-financial indicators to be considered when interpreting financial information						
Describe the operational areas to which the interpretation of financial information applies						

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 2: Interpret financial information						
Review the financial information provided						
Verify information contained within the material provided						
Undertake statistical analysis of the financial information provided						
Draw conclusions from the financial information provided						
Element 3: Determine action to be taken on the basis of interpretation of financial information						
Identify whether or not action needs to be taken						
Consider options available to address identified need						
Select the most appropriate option(s) for action						
Share information and proposed action with relevant personnel						
Apply the proposed course(s) of action						
Monitor the results of the changes						
Review remedial action and revise as required						
Candidate signature:		Date:				
Assessor signature:		Date:				

